Refund, Credit and SLA Penalty Policy

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Summary. Policy on service credits for missed uptime commitments, refunds, the 14-day money-back window, claim deadlines, exclusions, approval thresholds and the claim procedure, with worked examples for Standard, Premier and Enterprise subscriptions.

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1. Purpose and Scope

This policy sets out when Northstar Systems Private Limited gives customers service credits or refunds, how the amounts are calculated, who may approve them, and how the claim is processed. It applies to all customers of the Northstar Nexus Platform, Nexus Connect and Nexus Insight on the Standard, Premier and Enterprise support tiers. It is used by Customer Success Managers (CSMs), Support Leads, the Finance Desk and the Finance Controller.

The policy covers: monthly uptime commitments and the service credits that follow when they are missed; credit caps and claim deadlines; scheduled-maintenance exclusions; refunds, including the pro-rata refund on termination for uncured material breach and the 14-day money-back window for new Standard-tier subscriptions; and approval levels. Response times, escalation and priority definitions are in CS-003 and CS-007. Statements about legal or contractual obligations in this document are illustrative; to be verified by Legal before external use. Individual customer contracts prevail where they expressly differ, and any such difference must be recorded in the NorthBuy contracts repository.

2. Definitions

- **Subscription fee**: the monthly fee charged for the affected service under the customer's contract. Annual fees are divided by 12 for credit calculations.
- **Affected service**: the Nexus product or module (for example the Nexus Platform or Nexus Insight) whose availability fell below the commitment.
- **Monthly uptime**: the percentage of minutes in a calendar month in which the affected service was available, excluding the exclusions in section 5. Uptime is measured by Northstar monitoring in NorthWatch and published as part of the monthly service report.
- **Uptime commitment**: the minimum monthly uptime promised for the customer's tier.
- **Service credit**: a reduction applied to a future invoice. It is not a cash payment.
- **Refund**: money returned to the customer's original payment method or bank account.

- **Scheduled maintenance**: planned work announced in advance under section 5.
- **Claim**: a written request from the customer for a service credit or refund.
- **Finance Controller**: the approver for large credits and for refunds under this policy.

3. Roles and Responsibilities

- **Customer**: submits the claim in writing within the claim period.
- **CSM**: receives the claim, checks the facts, and submits the credit request to the Finance Desk. The CSM must not promise a credit before it has been validated.
- **Support Lead**: provides the incident record and the uptime evidence from NorthWatch and Northstar Status.
- **Finance Desk (finance@northstar-systems.example)**: calculates the credit, applies it to the next invoice, and keeps the record.
- **Finance Controller**: approves credits above INR 1,00,000 and all refunds, and handles exceptions.
- **CFO**: approves refunds and exceptions above the Finance Controller's limits under the Delegation of Authority described in OPS-001, and approves any claim made after the deadline.
- **Legal**: reviews contractual disputes and non-standard terms.

4. Uptime Commitments and Service Credits

4.1 Monthly uptime commitment by tier

Tier	Monthly uptime commitment
Standard	99.5%
Premier	99.9%
Enterprise	99.95%

4.2 Credit schedule

When the monthly uptime for the affected service is below the customer's commitment, the customer is entitled to a credit as a percentage of the monthly subscription fee for that affected service:

Monthly uptime achieved	Credit
Below the commitment but at least 99.0%	5% of the monthly fee
Below 99.0% but at least 95.0%	15% of the monthly fee
Below 95.0%	30% of the monthly fee

The same schedule applies to all three tiers; only the commitment threshold differs. The maximum credit in any month is 30% of the monthly fee. Credits cannot be combined to exceed the cap, and they are calculated per affected service, not on the customer's whole bill.

4.3 Worked calculations

Example 1 (Standard): A Standard customer in Jaipur pays INR 80,000 per month for the Nexus Platform. Uptime for the month is 99.3%. The commitment is 99.5%, so the target was missed; 99.3% is at least 99.0%, so the credit is 5% of INR 80,000, which is INR 4,000.

Example 2 (Premier): A Premier customer in Pune pays INR 2,40,000 per month. Uptime is 99.6%. The Premier commitment is 99.9%, so the target was missed, and 99.6% is at least 99.0%, so the credit is 5%, which is INR 12,000. Note that 99.6% would have met the Standard commitment; the tier determines whether a credit is due.

Example 3 (Enterprise): An Enterprise customer in Mumbai pays INR 8,00,000 per month. Uptime is 98.2%. This is below 99.0% and at least 95.0%, so the credit is 15%, which is INR 1,20,000. Because the credit is above INR 1,00,000, Finance Controller approval is required.

Example 4 (cap): An Enterprise customer pays INR 5,00,000 per month and the service was available only 92.0% of the month, which is below 95.0%. The credit is 30% (INR 1,50,000), which is also the cap. The credit never exceeds 30%, even if the customer also had a separate P1 incident in the same month.

Example 5 (commitment met): A Premier customer's uptime is 99.92%. The commitment of 99.9% is met, so no credit is due even if the customer experienced a short disruption.

4.4 Measuring uptime

Uptime is calculated from NorthWatch availability checks for the affected service, using the outage start and end times recorded in the incident record. Planned and excluded minutes are removed from both numerator and denominator. Where the customer has their own evidence of unavailability that differs from Northstar data, the Support Lead and CSM must review both. Differences are resolved by the Finance Controller with input from Engineering.

5. Exclusions

Credits are not due for unavailability caused by:

1 **Scheduled maintenance**, provided it was announced at least 7 days ahead, does not exceed 4 hours per month, and takes place outside business peak, in the window 01:00-05:00 IST. Maintenance that is not announced in time, or exceeds 4 hours in a month, or falls outside the window, counts as downtime for the excess.
2 Customer-caused issues, such as misconfigured Connectors, expired customer credentials (NX-1001), exceeding the rate limit of 1,000 requests per minute per tenant (NX-3010), or the customer's own network.
3 Third-party services that the customer controls, for example a customer endpoint that causes a Connector timeout (NX-2004).
4 Use of a Nexus version outside support, to the extent the issue is caused by that version (see CS-006).
5 Force majeure events, as defined in the customer contract (illustrative).
6 Suspension of the service for non-payment or for breach of the contract by the customer.

Example: A customer reports 6 hours of downtime in April. Four hours were scheduled maintenance announced 10 days earlier, between 01:00 and 05:00 IST. That maintenance is excluded and the remaining 2 hours of unplanned outage count toward uptime. The same 4 hours of maintenance announced only 3 days ahead would not be excluded.

6. Claiming a Service Credit

6.1 Claim deadline

The customer must claim in writing within 30 days of the end of the month in which the shortfall occurred. Credits are not applied automatically unless the customer's contract states otherwise. A claim made after 30 days of month end is declined, unless the CFO approves an exception, which is given only for documented good reason such as a delay caused by Northstar's own communication.

6.2 Procedure

1 The customer submits a written claim to the CSM or through NorthAssist, stating the month, the affected service and the outages.
2 The CSM records the claim in NorthAssist and checks the claim date against the 30-day deadline.
3 The Support Lead provides the incident references and the monthly uptime figure from NorthWatch.
4 The CSM sends the validated request to the Finance Desk with the tier, monthly fee, uptime, exclusions and the proposed credit.
5 The Finance Desk calculates the credit according to section 4 and prepares the credit note.
6 If the credit is above INR 1,00,000, the Finance Controller must approve before the credit note is issued.
7 The credit is applied to the customer's next invoice. The CSM confirms to the customer in writing, with the calculation.

6.3 Service level for processing

The CSM should acknowledge a claim within 2 business days and the Finance Desk should issue the credit note in time for the next invoice run. If the next invoice has already been issued, the credit appears on the invoice after that. The credit is shown as a separate line.

6.4 Credits are not cash

Service credits are applied to the next invoice only. They are not paid in cash and are not transferable. If the customer's contract ends and a credit remains unused, the unused amount is lost unless the contract states otherwise, or the end of contract is itself the result of an uncured material breach by Northstar (see section 7).

7. Refunds

7.1 General principle

Northstar's standard remedy for service shortfalls is the service credit. A refund is an exceptional remedy and is only available in the situations below.

7.2 Pro-rata refund on termination for uncured material breach

If the customer terminates the contract because Northstar has committed a material breach that Northstar did not cure within the cure period in the contract, the customer receives a pro-rata refund of prepaid fees for the period after the termination date. Refund eligibility is decided by Legal and the Finance Controller. Legal confirms that the breach is material and uncured (illustrative; to be verified by Legal before external use). The refund is not payable for a breach that has been cured.

Example: A customer prepaid INR 12,00,000 for an annual Enterprise contract starting 1 April. Northstar fails to cure a material breach and the customer terminates effective 30 September. Six

months remain, so the pro-rata refund is INR 6,00,000, subject to approval and to any credits already applied.

7.3 14-day money-back window for new Standard-tier subscriptions

A new Standard-tier subscription may be cancelled with a full refund of the subscription fee within 14 days of the subscription start. This applies only to new Standard-tier subscriptions. It does not apply to Premier or Enterprise contracts, to renewals, or to upgrades from an existing subscription. The request must be in writing within the 14 days.

Example: A new Standard customer in Indore starts a subscription on 3 March and writes on 15 March asking to cancel. That is within 14 days, so a full refund of the fee paid is approved. If the same customer writes on 20 March, the window has closed and no refund is due.

7.4 No refund for unused seats

There is no refund for unused seats mid-term. A customer who reduces user count may reduce seats at the next renewal, as the contract allows. Under no circumstances should a credit be offered as a substitute for unused seats.

7.5 Other refund cases

- **Duplicate payment or billing error**: corrected by the Finance Desk through a credit note or a refund of the overpayment. This is not a service credit and is not subject to the 30% cap.
- **Tax adjustments**: handled by Finance under the applicable invoicing rules (illustrative).
- **Goodwill gestures**: not part of this policy. Any gesture such as an extended trial or a free training session must be approved under the Delegation of Authority and recorded by the CSM. A CSM must not offer a refund or credit as goodwill without approval.

8. Approval Limits

8.1 Service credits

Credit amount	Approval
Up to INR 1,00,000	Finance Desk applies it after the CSM validates the claim
Above INR 1,00,000	Finance Controller approval required

8.2 Refunds

All refunds, including the pro-rata refund and the 14-day money-back refund, are approved by the Finance Controller after CSM validation. Refunds that exceed the Finance Controller's authority under the Delegation of Authority (see OPS-001) also need CFO approval. As a general rule the following thresholds apply to refund amounts, in line with the company DoA:

Refund amount (INR)	Approver
Up to 2,00,000	Finance Controller (with Director, Band B6, where the amount exceeds 50,000)
2,00,001 to 10,00,000	CFO
Above 10,00,000	CFO and CEO jointly

No one may approve a credit or refund for a customer account that they manage. The CSM cannot approve their own recommendation, and no approver may be below Band B4.

8.3 Splitting

Splitting a credit or refund into smaller amounts to avoid a threshold is prohibited.

9. Interaction with Incidents and Other Remedies

- A service credit for missed uptime is separate from the customer-facing root cause analysis (RCA). For a SEV1 incident, Enterprise and Premier customers receive an RCA within 5 business days of resolution and Standard customers may request one within 10 business days. Delivering an RCA does not create a credit entitlement.
- A P1 response-time miss does not on its own create a credit. Only the monthly uptime schedule in section 4 does. Persistent response-time failures are handled through the escalation process in CS-007 and the customer health review.
- If a customer has both an uptime credit and a billing correction in the same month, the two are processed separately.
- If an incident spans two months, uptime is calculated per calendar month, with the outage minutes allocated to the month in which they occurred.

10. Common Edge Cases

10.1 Customer asks for cash instead of a credit

Not allowed. Credits are applied to the next invoice. Explain this in plain language, and offer to show the calculation.

10.2 Customer claims after 30 days

The claim is declined by default. The CSM may request an exception from the CFO if Northstar contributed to the delay, for example by not publishing the monthly service report on time. The CSM should not suggest to the customer that an exception is likely.

10.3 Customer is on a monthly fee that includes several services

Calculate on the affected service's share of the fee. If the contract does not itemise fees, Finance Desk apportions based on the price list at contract signing, and the CSM documents the method.

10.4 Customer is overdue on payments

A credit is still due if the claim is valid. The Finance Desk may apply it against overdue amounts. Credits are not paid out in cash.

10.5 Customer disputes the uptime figure

The Support Lead and the Finance Controller review the NorthWatch data and the customer's evidence. If NorthWatch data are unavailable for part of the month, the Finance Controller decides with the benefit of the doubt given to the customer where Northstar cannot prove availability.

10.6 Customer on a version outside support

Credits for unavailability that can be attributed to the use of an unsupported version are excluded (see section 5). Where an outage is clearly caused by Northstar infrastructure and not the version, the credit applies.

10.7 Maintenance overruns

If scheduled maintenance announced as 3 hours runs for 5 hours, the first 3 hours may be excluded if the other conditions are met, but the extra 2 hours count as downtime. The 4-hour monthly maximum applies in total across the month.

11. Records and Audit

The Finance Desk keeps, for each credit or refund, the claim, the uptime evidence, the calculation, the approval and the credit note. Records are retained according to the financial records retention rule of 8 years. The Finance Controller reviews all credits quarterly and reports totals by customer and by cause to the CFO and VP Customer Success. A customer receiving credits for three consecutive months is flagged for a recovery plan, consistent with the health score process in CS-008. Internal audit may sample credits and refunds annually.

12. Communication Rules

Messages about credits and refunds must be plain and empathetic and must not blame. They must not include internal system names or personal data. Use approved templates from the communication library and write in English, or in Hindi on request for India customers. A CSM must show the calculation, the month, the fee and the credit amount, and must state clearly that the credit will appear on the next invoice. No promise of a future credit, refund or delivery date may be made without validation by Finance and, where relevant, Engineering.

13. Frequently Asked Questions

What credit does a customer get at 98.5% uptime? 15% of the monthly fee for the affected service, because 98.5% is below 99.0% and at least 95.0%.

What is the maximum credit? 30% of the monthly fee.

Is there a refund for unused seats? No, not mid-term.

Does the 14-day money-back window apply to Enterprise? No. It applies only to new Standard-tier subscriptions.

How long does a customer have to claim? 30 days from the end of the month in which the shortfall happened.

Who approves a credit of INR 1,50,000? The Finance Controller, because the amount is above INR 1,00,000.

14. Related Documents

- CS-003 for tier commitments and response targets.
- OPS-001 for the Delegation of Authority that governs approvals.
- CS-008 for the customer health score and recovery plan process.
- CS-007 for ticket triage and escalation, and CS-006 for supported versions.

15. Revision History

Version	Effective date	Change
4.0	2024-10-01	Introduced the three-band credit schedule and the 30% cap
4.2	2025-07-14	Clarified the 14-day window and the Finance Controller approval for credits above INR 1,00,000